

Direct Sale of Goods (Management and Regulation) Act, 2017

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Direct Selling (Management and Regulation) Act, 2074

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Act Number 43 of the year 2074

An Act Made to Manage and Regulate Matters Relating to Direct Selling of Goods

Preamble: Whereas, it is desirable to make necessary provisions relating to regulating the business of direct selling or distribution of goods, making it reliable, transparent and competitive, and protecting the rights and interests of general consumers,

The Legislature-Parliament has enacted this Act in accordance with Sub-article (1) of Article 296 of the Constitution of Nepal. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Direct Selling (Management and Regulation) Act, 2074".

(2) This Act shall come into force on the 91st day from the date of its approval by the Legislature-Parliament. Date of approval by the Legislature-Parliament: 2074.6.24. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Monitoring Committee" means the Monitoring Committee constituted pursuant to Section 30.

(b) "License" means the license granted pursuant to Section 5.

(c) "Licensee" means a company that has obtained a license pursuant to Section 5.

(d) "Company" means a company established pursuant to the prevailing law, and said term also includes the founder and director of such a company.

(e) "Directing Committee" means the Directing Committee constituted pursuant to Section 27.

(f) "Prescribed or as prescribed" means prescribed or as prescribed in the rules made under this Act.

(g) "Inspecting Officer" means the Inspecting Officer designated pursuant to Section 21.

(h) "Bank Guarantee" means a bank guarantee issued by a bank designated by the Department, under which the bank must make cash payment immediately upon demand by the Department.

(i) "Ministry" means the Ministry of Commerce.

(j) "Direct Seller or Distributor of Goods" means a person or representative who has completed at least eighteen years of age and is appointed by a licensee through an agreement for marketing or market

promotion related to direct selling of goods.

(k) "Direct Selling or Distribution of Goods" means the act of directly selling or distributing goods made available by a licensee from a producer company or distributor company to a consumer.

(l) "Department" means the Department of Commerce. Chapter-2

Provisions Relating to License

3. Prohibition on Direct Selling or Distribution of Goods Without Obtaining License: No person shall, without obtaining a license under this Act, engage in or cause to engage in the business of direct selling or distribution of prescribed goods. 4.

Application for Obtaining License: (1) A company desiring to conduct the business of direct selling or distribution of goods shall submit an application to the Department in the prescribed format, stating the following documents or details:- (a) Name of the company, (b) Certified copy of the certificate of incorporation, memorandum of association, and articles of association, (c) Copy of the Value Added Tax (VAT) registration certificate as per the prevailing law, (d) Detailed business plan relating to direct selling of goods, profit sharing, commission sharing plan, (e) Other details as prescribed. (2) The paid-up capital of a company applying for a license under Sub-section (1) shall be at least one crore rupees. 5. Grant of License: (1) The Department may, upon studying the documents and details submitted with the application received under Section 4, if it appears appropriate to grant a license to such a company to conduct the business of direct selling or distribution of goods, grant a license in the prescribed format within ninety days from the date of receipt of the application, upon taking the prescribed license fee and at least fifty percent of the paid-up capital as cash deposit or a bank guarantee of equivalent amount. (2) If, while studying the documents and details submitted with the application under Sub-section (1), it appears necessary to request additional documents or details from the applicant or to further clarify the documents or details submitted, the Department may order the applicant to submit such documents or details or to further clarify the documents or details submitted, specifying a time limit. (3) If an order is made under Sub-section (2), the concerned applicant shall submit the required documents or details to the Department or further clarify the submitted documents or details within the prescribed period as per such order. (4) While granting a license under Sub-section (1), the Department may prescribe additional necessary conditions besides the conditions mentioned in this Act and the rules made under this Act. 6. Non-Grant of License: (1) Upon studying the documents and details submitted with the application received under Section 4, if no reasonable basis and reason is found to grant a license, such a license shall not be granted to that applicant.

The Department shall give written notice to the applicant within thirty days, stating the basis and reasons for not granting the license. (2) An applicant dissatisfied with a decision made by the Department under Sub-section (1) may appeal to the Ministry within twenty-one days from the date of receipt of notice of such decision. (3) If an appeal is filed under Sub-section (2), the Ministry shall decide within thirty-five days from the date of filing of the appeal. The decision made by the Ministry shall be final. 7. Order to Increase Paid-Up Capital or Add Deposit: (1) Notwithstanding anything contained in Sections 4 and 5, if the paid-up capital of a licensee and the deposit kept at the time of obtaining the license appear to have decreased in proportion to the increase in the business of the licensee, the Department may order the licensee to increase such paid-up capital or deposit additional deposit as required. (2) If an order is made under Sub-section (1), the concerned licensee shall increase the paid-up capital of the company or deposit additional deposit within the time limit specified in the order of the Department. (3) Other provisions relating to the determination of the increased paid-up capital and additional deposit amount under Sub-section (1) shall be as prescribed. 8. Provisions

Relating to Validity Period and Renewal of License: (1) A license granted under this Act shall remain valid for two years. (2) At least sixty days prior to the expiry of the license term under Sub-section (1), the licensee shall submit an application to the Department for renewal of the license in the prescribed format, along with the prescribed fee. (3) Notwithstanding anything contained in Sub-section (2), an application for renewal may be submitted to the Department in the prescribed format at least fifteen days prior to the expiry of the license term, along with double the fee payable for renewal. (4) Upon receiving an application for renewal under Sub-section (2) or (3), the Department shall renew the license for two years within fifteen days from the date of receipt of the application and inform the licensee accordingly. (5) If the term of a license expires without renewal under this Section, such license shall be automatically cancelled. 9.

Grounds for Cancellation of License: (1) The Department may cancel a license granted under this Act in any of the following circumstances:- (a) If the license is found to have been obtained by submitting false documents or details, (b) If the paid-up capital is not increased or additional deposit is not made within the prescribed period as per the order of the Department under Section 7, (c) If the business is conducted contrary to Section 11, (d) If the business is conducted without entering into an agreement under Section 14, (e) If the compensation payable to a consumer under Section 23 is not paid within the prescribed period, (f) If the fine payable under Section 24 is not paid within three months, (g) If an act punishable with a fine under Section 24 is committed for the third time within a period of two years, (h) If any other act is done contrary to this Act or the rules made under this Act. (2) Before canceling a license under Sub-section (1), the Department shall give the concerned licensee a reasonable opportunity to present his/her defense. (3) A party dissatisfied with the Department's decision to cancel a license under Sub-section (1) may appeal to the concerned High Court within thirty-five days from the date of receipt of notice of such decision to cancel the license. 10. Provisions Relating to Transfer or Change of Ownership or Liability: (1) If a licensee desires to transfer or change the ownership or liability of its company, it shall submit an application to the Department for approval, stating the clear basis and reason thereof. (2) If the content of the application received under Sub-section (1) appears reasonable, the Department may grant approval to transfer or change the ownership or liability of such company. 11. Prohibition on Pyramid-Based Business: Notwithstanding anything contained elsewhere in this Act, no person shall operate a pyramid-based business.

Explanation: For the purpose of this Section, "pyramid-based business" means a business related to any of the following acts:- (a) A networked activity where membership of any kind is mandatory before purchasing goods, (b) A networked activity where purchasing one good requires purchasing other goods also in a single package, (c) A networked activity where a person purchasing goods is unable to obtain goods equivalent to the amount paid or benefit if he/she fails to recruit another direct seller or distributor under him/her, (d) A networked activity where only fees are charged by merely appointing direct sellers or distributors without any transaction of goods, (e) A networked activity where the company, for the purpose of selling goods, offers attractive gifts that are commercially unreasonable and impossible, or creates a temptation of commission to make members or compel them to purchase expensive goods, (f) A networked activity having a business plan that discourages retail sale of goods, or (g) A networked activity where a good is sold or distributed by making someone believe that it is a supernatural good that will provide unexpected benefit or cure a disease proven incurable by medical science. Chapter-3 Provisions Relating to Conditions to be Followed by Licensee 12. Licensee to Comply with Conditions: In addition to this Act, the rules made under this Act, and the conditions mentioned in the license, the licensee shall comply with the following conditions:- (a) While engaging in direct selling or distribution of goods, goods shall not be sold by creating packages that create unlimited liability, (b) Binding provisions shall not be made requiring the purchase of a fixed quantity of goods, and depriving of bonus or commission under the licensee's business plan if such goods are not purchased,

(c) Consumers shall be allowed to purchase separate items as per their wish, (d) The licensee shall not engage in the act of merely appointing direct sellers or distributors without transacting goods, (e) Production, promotion, or sale/distribution of consumable goods of a nature that adversely affects the health of consumers shall not be done, (f) Other conditions as prescribed. 13. Provisions Relating to Physical Infrastructure: (1) If separate physical infrastructure is required to conduct direct selling or distribution of goods, the licensee shall conduct business only after making arrangements for such physical infrastructure. (2) Other provisions relating to physical infrastructure shall be as prescribed. 14.

Agreement to be Made: (1) Before causing a direct seller or distributor to conduct transactions relating to direct selling or distribution of goods, the licensee shall enter into an agreement with him/her concerning the same. (2) While entering into an agreement under Sub-section (1), the services, facilities, commission, or bonus receivable by the direct seller or distributor from the licensee for selling or distributing goods shall be clearly stated. 15. Details of Commission or Bonus to be Submitted: (1) The licensee shall determine the provisions relating to services, facilities, commission, or bonus receivable by a direct seller or distributor for direct selling or distribution of goods, and before implementing such provisions, shall submit the details thereof to the Department. (2) The Department may give direction to modify the details submitted under Sub-section (1) as required, and the licensee shall comply with the direction given by the Department. (3) If any change is made in the details determined under Sub-section (1), such changed details shall be submitted to the Department within thirty days of making such change. 16. Domestic Goods to be Sold or Distributed: (1) While engaging in direct selling or distribution of goods, the licensee shall sell or distribute at least fifty percent domestic goods. Provided that this provision shall not apply in respect of goods not produced in Nepal. (2) Details of goods sold or distributed under Sub-section (1) shall be submitted to the Department within sixty days after the end of each fiscal year. 17. Right to Return Purchased Goods: (1) If a consumer is dissatisfied with the price, quality, quantity, or utility of goods purchased from a direct seller or distributor, he/she may return such goods to the concerned direct seller or distributor within thirty days from the date of purchase. (2) If a consumer returns goods purchased under Sub-section (1), the licensee and the direct seller or distributor shall refund the remaining amount after deducting any service fee already collected at the time of selling or distributing the goods and taxes leviable under the law. (3) The amount deducted as tax under Sub-section (2) shall be deposited at the concerned tax office. (4) Other provisions relating to the return of goods purchased by a consumer shall be as prescribed. 18. Insurance to be Made: The licensee shall get the business of direct selling or distribution of goods insured in accordance with the prevailing law.

Chapter-4 Functions, Duties and Powers of the Department 19. Functions, Duties and Powers of the Department: In addition to the functions, duties and powers mentioned elsewhere in this Act, the other functions, duties and powers of the Department shall be as follows: (a) To grant licenses to conduct the business of direct selling or distribution of goods, subject to this Act and the rules made under this Act, (b) To monitor and inspect licensees, (c) To hear and address consumer complaints relating to direct selling or distribution of goods, (d) To take action against licensees engaged in unfair business activities, (e) To inform the general public about the business of direct selling or distribution of goods through various means, (f) To perform other functions as prescribed. 20. Inspection or Investigation to be Made: (1) The Department shall regularly inspect or investigate the transactions of licensees and direct sellers or distributors of goods. (2) If any person files a complaint in the prescribed format to the Department stating that he/she has suffered any loss, damage, or injury due to a licensee or direct seller or distributor of goods engaging in unfair trade practices to create a monopoly, affect the price or supply of consumable goods, or produce or sell/distribute substandard consumable goods, causing harm, loss, or damage to consumers or adversely affecting their rights and interests, or if there is a reasonable cause to believe that any act is being done or may be done

contrary to this Act or the rules made under this Act, the Department may make or cause to make an inspection or investigation at any time. (3) While making an inspection or investigation under Sub-section (2), if the content of the complaint appears reasonable or if any person is found to have done any act contrary to this Act or the rules made under this Act, the Department may itself take action against such licensee or direct seller or distributor in accordance with the prevailing law, or may send a letter to the concerned body for action. 21. Inspecting Officer may be Designated: (1) For the purpose of Section 20, the Government of Nepal may designate any gazetted officer to act as an Inspecting Officer. (2) While designating an Inspecting Officer under Sub-section (1), his/her area of jurisdiction shall also be specified. 22.

Functions, Duties and Powers of Inspecting Officer: (1) In addition to the functions, duties and powers mentioned elsewhere in this Act, the other functions, duties and powers of the Inspecting Officer shall be as follows: (a) If there is a reasonable cause to believe that a licensee or direct seller or distributor of goods is producing or selling/distributing unsafe, harmful, or substandard goods, or that any act is being done or may be done contrary to this Act or the rules made under this Act, to make necessary inspection or investigation regarding such act, (b) While making inspection or investigation under Clause (a), if it is found that any harmful or substandard goods are being produced or sold/distributed, or any act is being done contrary to this Act or the rules made under this Act, or if there is a reasonable basis and reason that such act may occur, to search the place where such goods are stored and collect samples of such goods, (c) While making inspection or investigation under Clause (a) or search under Clause (b), if it is found that any harmful or substandard goods are being produced or sold/distributed, or any act is being done contrary to this Act or the rules made under this Act, to prohibit the production or sale/distribution of such consumable goods for a prescribed period, (d) To submit a report relating to the act done under Clauses (a), (b) and (c) to the Department within seven days. (2) It shall be the duty of the licensee and the direct seller or distributor to provide the details or records demanded by the Inspecting Officer during the inspection, investigation, or search under this Section. (3) The procedures to be followed during inspection, investigation, or search under Sub-section (1) and other provisions relating to the functions, duties and powers of the Inspecting Officer shall be as prescribed. 23.

Compensation may be Ordered: (1) If, from an inspection or investigation conducted under Section 20, any consumer is found to have suffered loss, damage, or injury, the Department may order the concerned licensee, direct seller, or distributor of goods to pay a reasonable amount as compensation to such consumer. (2) Upon receiving an order under Sub-section (1), the licensee, direct seller, or distributor of goods shall provide the amount specified in such order to the concerned consumer within fifteen days of receiving the order and inform the Department thereof. (3) If the compensation amount is not provided within the period under Sub-section (2), the Department shall provide the compensation amount to the aggrieved consumer from the deposit kept by such licensee. 24. Imposition of Fine: (1) The Department may impose a fine of fifty thousand rupees to one hundred thousand rupees on a licensee who transfers or changes the ownership or liability of the company without obtaining approval under Section 10. (2) The Department may impose a fine of up to one hundred thousand rupees on a licensee who fails to comply with the conditions under Section 12. (3) The Department may impose a fine of up to five hundred thousand rupees on a licensee or a direct seller or distributor of goods who does any act contrary to this Act or the rules made under this Act, or fails to comply with an order or direction given by the Department. (4) If a licensee fails to submit a report required to be submitted under Section 45 within the prescribed period, except for a reasonable cause, or fails to give the notice required under Section 49, the Department may impose a fine on such licensee at the rate of one hundred rupees per day, up to a maximum of ten thousand rupees. (5) If a direction or order given under Clause (b) and (c) of Section 31 is not complied with, the Monitoring

Committee may impose a fine of up to one hundred thousand rupees on such licensee or direct seller or distributor of goods. (6) If, during an inspection at the place of direct selling or distribution of goods, it is found that the price, quality, or quantity of goods has been tampered with, or a price list has not been kept, the Inspecting Officer may, depending on the circumstances, impose a fine of five thousand rupees to fifteen thousand rupees on such licensee, direct seller, or distributor of goods. If such act is repeated, double the fine may be imposed for each subsequent occasion. 25.

Suspension of License: (1) If, upon inspection or investigation under Section 20, the Inspecting Officer recommends to the Department for legal action, stating that a licensee or direct seller or distributor of goods has seriously violated this Act or the rules made under this Act, or has done an act seriously affecting the rights and interests of consumers, the Department may suspend the license of such licensee for a prescribed period. (2) Notwithstanding anything contained in Sub-section (1), if a case is filed under Section 39, the license of such licensee shall be automatically suspended. (3) The licensee shall be informed of the suspension of the license under Sub-section (1). (4) During the period of suspension of the license under Sub-section (1) or (2), such licensee shall not be entitled to engage in direct selling or distribution of goods under this Act. 26. **Right to Appeal:** (1) A party dissatisfied with an order made by the Department to pay compensation under Section 23, a fine imposed under Sub-sections (1), (2), (3) and (4) of Section 24, or a suspension made under Sub-section (1) of Section 25, may appeal to the concerned High Court within thirty-five days from the date of receipt of notice of such decision. (2) A party dissatisfied with a fine imposed under Sub-sections (5) and (6) of Section 24 may appeal to the concerned District Court within thirty-five days from the date of receipt of notice of such decision. Chapter-5 Provisions Relating to Committees 27.

Formation of Directing Committee: (1) There shall be a Directing Committee at the central level to perform necessary functions relating to making the business of direct selling or distribution of goods safe, systematic, and dignified, and for the protection of the rights and interests of consumers. (2) The Directing Committee under Sub-section (1) shall consist of the following members: (a) Secretary, Ministry - Chairperson (b) Joint Secretary, Ministry of Finance - Member (c) Joint Secretary, Ministry of Home Affairs - Member (d) Joint Secretary, Ministry of Industry - Member (e) Chief, Office of the Company Registrar - Member (f) One person nominated by the Ministry from amongst a representative organization related to consumer rights and interests - Member (g) One person nominated by the Ministry from amongst a representative organization associated with direct selling or distribution of goods - Member (h) One person nominated by the Ministry from amongst experts having experience in direct selling or distribution of goods - Member (i) Director General, Department - Member Secretary (3) The term of office of nominated members under Clauses (f), (g), and (h) of Sub-section (2) shall be two years, and they may be re-nominated. (4) Notwithstanding anything contained in Sub-section (3), if a nominated member fails to perform the work expected of his/her position, the Ministry may remove him/her at any time. Provided that before such removal, he/she shall be given a reasonable opportunity to present his/her defense. (5) If the position of a member of the Directing Committee falls vacant for any reason, the vacant position shall be filled in the same manner in which such position was nominated. (6) The Department shall serve as the Secretariat of the Directing Committee. 28.

Functions, Duties and Powers of Directing Committee: (1) The functions, duties and powers of the Directing Committee shall be as follows: (a) To cause studies and research on the economic and technical aspects of the business of direct selling or distribution of goods to facilitate its smooth operation, (b) To direct the Department to carry out necessary study and research for timely amendment of the law relating to direct selling or distribution of goods, based on the status of implementation of such law, (c) To formulate short-term and long-term policies to be adopted regarding making direct selling or distribution safe, systematic, and

dignified and protecting the rights and interests of consumers, and submit them to the Government of Nepal, (d) To give direction to the Department to adopt necessary measures to prevent unfair business activities relating to direct selling or distribution, (e) To coordinate and supervise the work done by the Monitoring Committee and give direction as required, (f) To perform other functions as prescribed. (2) The Directing Committee may, as required, constitute a sub-committee to perform any function under Sub-section (1). (3) The functions, duties and powers of a sub-committee constituted under Sub-section (2) shall be as determined by the Directing Committee. 29. Meeting and Decision of Directing Committee: (1) Meetings of the Directing Committee shall be held as required. (2) Meetings of the Directing Committee shall be held on the date, time and place specified by the Chairperson. (3) If more than fifty percent of the total number of members of the Directing Committee are present, it shall be deemed to constitute a quorum for a meeting. (4) The opinion of the majority in a meeting of the Directing Committee shall prevail, and in case of a tie, the person chairing the meeting shall cast the deciding vote. (5) The Chairperson may invite any expert related to direct selling or distribution of goods to a meeting of the Directing Committee. (6) Decisions of the Directing Committee shall be certified by the Member Secretary of the Committee. (7) Other procedures relating to meetings of the Directing Committee shall be as determined by the Committee itself. (8) The Chairperson and members of the Directing Committee shall receive meeting allowance as prescribed for participating in the meeting. 30.

Monitoring Committee: (1) There shall be a Monitoring Committee at the district level to monitor the business of direct selling or distribution of goods. (2) The Monitoring Committee under Sub-section (1) shall consist of the following members: (a) Chief District Officer or Assistant Chief District Officer - Chairperson (b) Representative, District Coordination Committee - Member (c) Representative, Chamber of Commerce and Industry of the concerned district - Member (d) One person nominated by the Chairperson from amongst a representative organization related to consumer rights and interests - Member (e) Chief, Office of Commerce (in places where there is no Office of Commerce, the Chief of the District Office of Cottage and Small Industry or Cottage and Small Industry Development Committee) - Member Secretary (3) The term of office of a nominated member under Clause (d) of Sub-section (2) shall be two years, and they may be re-nominated. (4) Notwithstanding anything contained in Sub-section (3), if a nominated member fails to perform the work expected of his/her position, the Chairperson may remove him/her at any time. Provided that before such removal, he/she shall be given a reasonable opportunity to present his/her defense. (5) If the position of a member of the Monitoring Committee falls vacant for any reason, the vacant position shall be filled in the same manner in which such position was nominated. 31.

Functions, Duties and Powers of Monitoring Committee: (1) In addition to the functions, duties and powers mentioned elsewhere in this Act, the other functions, duties and powers of the Monitoring Committee shall be as follows: (a) To monitor the business of direct selling or distribution of goods of licensees and direct sellers or distributors of goods within its district, (b) To give necessary direction to a licensee or direct seller or distributor of goods if found to have failed to comply with any condition mentioned in this Act or done any act contrary to this Act or the rules made under this Act, (c) To order the immediate seizure of all transactions relating to direct selling or distribution of goods if a licensee or direct seller or distributor of goods is found to have done any act contrary to this Act or the rules made under this Act, (d) If a licensee or direct seller or distributor of goods is found to have done any act contrary to other prevailing law, or if any consumer is found to have suffered loss or damage due to any act done contrary to this Act or the rules made under this Act, to write to the Department to recover compensation for such loss or damage from the concerned licensee or direct seller or distributor of goods, (e) To implement the direction given by the Directing Committee. (2) Upon receiving a letter under Clause (d) of Sub-section (1), the Department shall immediately initiate legal action

against the concerned licensee or direct seller or distributor of goods under this Act. 32.

Meeting and Decision of Monitoring Committee: (1) Meetings of the Monitoring Committee shall be held as required. (2) Meetings of the Monitoring Committee shall be held on the date, time and place specified by the Chairperson. (3) If more than fifty percent of the total number of members of the Monitoring Committee are present, it shall be deemed to constitute a quorum for a meeting. (4) The opinion of the majority in a meeting of the Monitoring Committee shall prevail, and in case of a tie, the person chairing the meeting shall cast the deciding vote. (5) The Chairperson may invite any expert related to direct selling or distribution of goods to a meeting of the Monitoring Committee. (6) Decisions of the Monitoring Committee shall be certified by the Member Secretary of the Committee. (7) Other procedures relating to meetings of the Monitoring Committee shall be as determined by the Committee itself. (8) The Chairperson and members of the Monitoring Committee shall receive meeting allowance as prescribed for participating in the meeting. 33. Special Provision Relating to Direct Selling or Distribution in Province: Notwithstanding anything contained elsewhere in this Act, until the election of the Provincial Assembly is held and the Provincial Executive is formed, the provisions relating to direct selling or distribution in the province shall be as specified by the Government of Nepal by notification in the Nepal Gazette. Chapter-6 Provisions Relating to Orientation Training and Awareness 34. Orientation Training to be Given: (1) The licensee shall give orientation training to direct sellers or distributors as required, to provide information on matters related to direct selling or distribution of goods. (2) Other provisions relating to orientation training shall be as prescribed. 35. Awareness Programs to be Conducted: (1) The licensee shall conduct consumer awareness programs as required, taking into account the level of consumer awareness and the status of direct selling or distribution of goods. (2) While conducting programs under Sub-section (1), priority shall be given to local communication media. (3) Other provisions relating to conducting awareness programs under Sub-section (1) shall be as prescribed. Chapter-7 Provisions Relating to Offenses and Penalties 36.

Acts Constituting Offense: If any person does or causes to do any of the following acts, he/she shall be deemed to have committed an offense under this Act: (a) If any act relating to direct selling or distribution of goods is done or caused to be done contrary to Section 3, (b) If business is operated or caused to be operated contrary to Section 11, (c) If a direct seller or distributor is appointed without making an agreement under Section 14 and is engaged in work relating to direct selling or distribution of goods, (d) If direct selling or distribution of goods is done during the period of suspension under Section 25, (e) If obstruction or opposition is made to the act of inspection, investigation, or inquiry under this Act. 37. Penalties: (1) A person who commits or causes to commit the following offenses shall, depending on the gravity of the offense, be punished as follows: (a) For an offense under Clause (a) or (d) of Section 36, a fine equivalent to the amount involved if the amount is known, or a fine of one hundred thousand rupees to five hundred thousand rupees if the amount is unknown, or imprisonment for six months to one year, or both, (b) For an offense under Clause (b) of Section 36, a fine equivalent to the amount involved if the amount is known, or a fine of five hundred thousand rupees to one million rupees if the amount is unknown, or imprisonment for three years to five years, or both, (c) For an offense under Clause (c) of Section 36, a fine equivalent to the amount involved if the amount is known, or a fine of up to one hundred thousand rupees if the amount is unknown, or imprisonment for up to three years, or both, (d) For an offense under Clause (e) of Section 36, a fine of up to fifty thousand rupees or imprisonment for up to three months, or both. (2) If a company which is a licensee under this Act commits an offense under Section 36, the founder, director, or concerned office bearer of such company shall be liable to the penalty under this Section. (3) A licensee or person who abets or incites the commission of an offense under Section 36 shall be liable to half the penalty imposable for committing such offense. Chapter-8 Provisions Relating to Investigation and Filing of Cases 38.

Filing of Complaint: (1) If any person comes to know of any act that constitutes an offense under Section 36 having been done, being done, or about to be done, any person may file a complaint within ninety days with the Inspecting Officer or the nearest police office. (2) If a complaint is filed with a police office under Sub-section (1), the police office shall forward the complaint to the Inspecting Officer as soon as possible and inform the concerned complainant thereof. (3) Upon receiving a complaint under Sub-section (1) or (2), the Inspecting Officer shall commence investigation as prescribed. 39. Investigation and Filing of Case: (1) The investigation of cases relating to offenses punishable under this Act shall be conducted by the Inspecting Officer. While conducting the investigation, the Inspecting Officer may obtain necessary assistance from the concerned District Police Office. (2) A case shall be filed in the concerned District Court within thirty-five days from the date of completion of investigation under Sub-section (1). (3) While filing a case under Sub-section (1), the Inspecting Officer shall obtain the opinion of the government attorney. (4) The defense of a case filed by the Inspecting Officer under this Act shall be conducted by the government attorney. 40. Government of Nepal to be Plaintiff: Cases relating to offenses under Section 36 shall be filed with the Government of Nepal as plaintiff. 41. Summary Procedure to be Adopted: While conducting proceedings and deciding a case filed under this Act, the procedure under the Summary Procedure Act, 2028 shall be adopted. 42. No Bar to Proceedings Under Prevailing Law: If an act constituting an offense under this Act also constitutes an offense under other prevailing law, nothing in this Act shall be deemed to bar proceedings under such prevailing law. Chapter-9 Miscellaneous 43. Classification of Licensees: The Department may classify licensees engaged in direct selling or distribution of goods as prescribed. 44. Provision Relating to Social Security: The licensee shall fulfill the social security standards as prescribed before engaging in the business of direct selling or distribution of goods. 45. Provisions Relating to Records and Reports: (1) The licensee shall keep records of transactions relating to direct selling or distribution of goods and details including direct sellers or distributors in the prescribed format.

Such records may be inspected, called for, or examined by the Inspecting Officer or the Department at any time. (2) The licensee shall submit a report including details of its transactions every three months to the Department in the prescribed format. (3) The licensee shall prepare and submit an annual report to the Department within three months after the end of each fiscal year. (4) Other provisions relating to keeping records and making reports under this Section shall be as prescribed. 46. Registration of Details: The Department shall keep an updated register of details received from time to time from licensees under this Act, in the prescribed format. 47. Amendment of Details: (1) If any person wishes to change any general detail mentioned in the license, he/she shall submit an application to the Department in the prescribed format, along with the prescribed fee. Explanation: For the purpose of this Section, "general detail" refers to matters such as the name, address, contact number of the company or its director. (2) If the content of the application submitted for changing details under Sub-section (1) appears reasonable, the Department may change the details as applied. 48. Details to be Made Public: (1) The Department shall, from time to time, update and make public the details such as the name, address, telephone number of licensees, details if any appointment of direct sellers or distributors or opening of branches has been made, and the validity period of the license, through at least a national daily newspaper or its